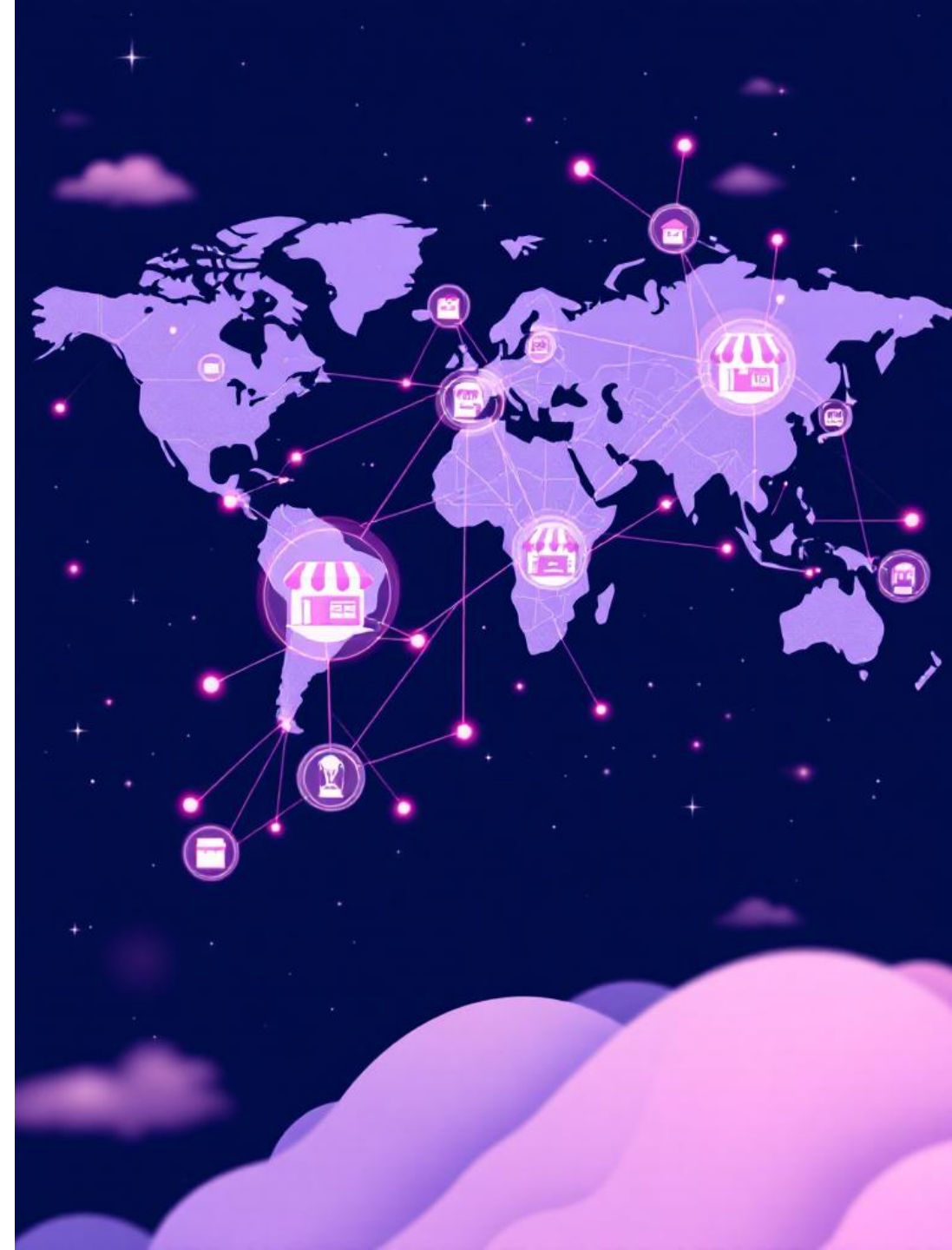


Global Electronics Retail: Strategic Pivot to Profitable Growth

Presented by: Gundeti Sailikith, Data Analyst



Executive Summary

- Shifting from Volume Growth to Margin Excellence
- **Key Findings:**
 - Strong top-line revenue is being eroded by narrow gross margins in high-volume categories.
 - Identified 56 high-performing products across all countries that are currently under-priced.
- **The Bottom Line:** Implementing a dual-path pricing strategy and back-tested optimization will result in an immediate **\$1,595 bottom-line increase** without risking significant volume loss.

Business Challenge

A Global Electronics company is successfully driving strong top-line revenue, yet this growth isn't translating into bottom-line success due to narrow gross margins and low net profits.

Objective:

To identify global "profit leaks" and shifting business strategy from high-volume sales to data-driven **profitable growth** and healthier gross margins.

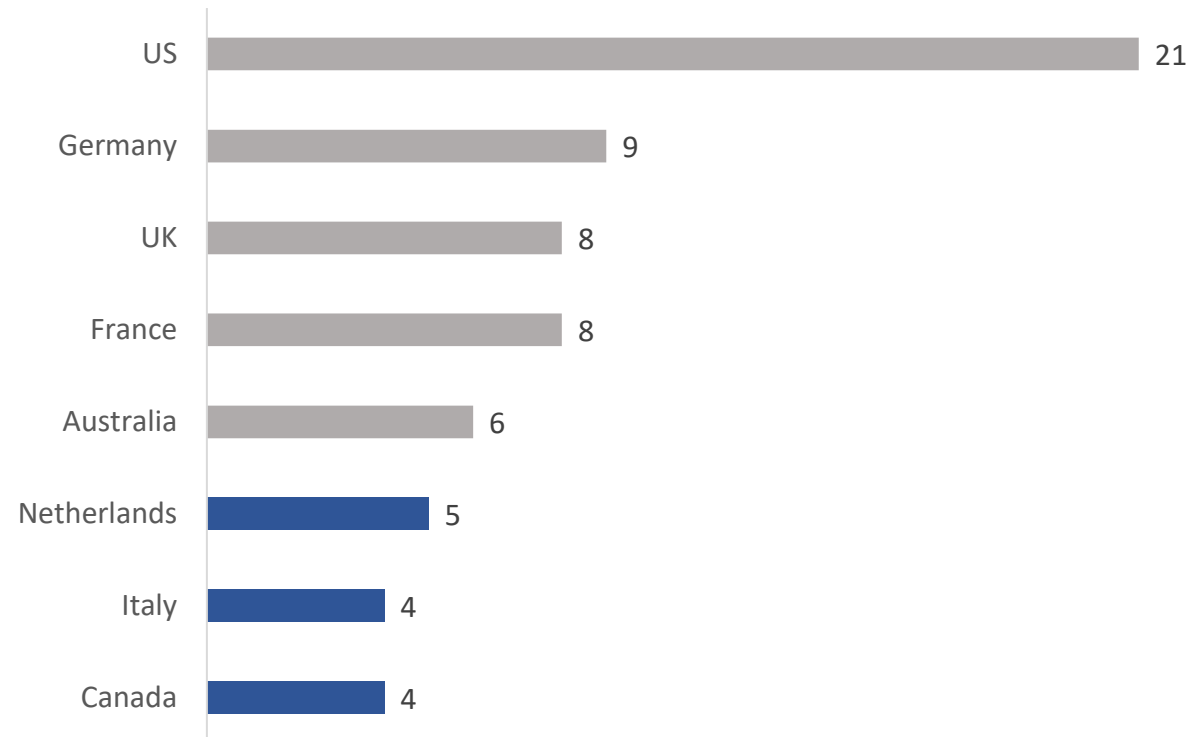
Technical Methodology & Data Pipeline

- **Data Source:** 50,000+ records (Maven Analytics) spanning Customers, Products, and Global Sales.
- **Stack:**
 - **SQL:** CTEs and Joins used to engineer a "Sales Summary" table.
 - **Python (Pandas/SciPy):** Exploratory Data Analysis and Hypothesis Testing.
 - **Back-Testing:** Elasticity modeling and Confidence Interval (2 Standard Deviations) validation.
 - **Excel:** Executive dashboard for sales leaks analysis.

Key Findings

Physical Scale : Netherlands, Italy and Canada has less than average stores across all countries.

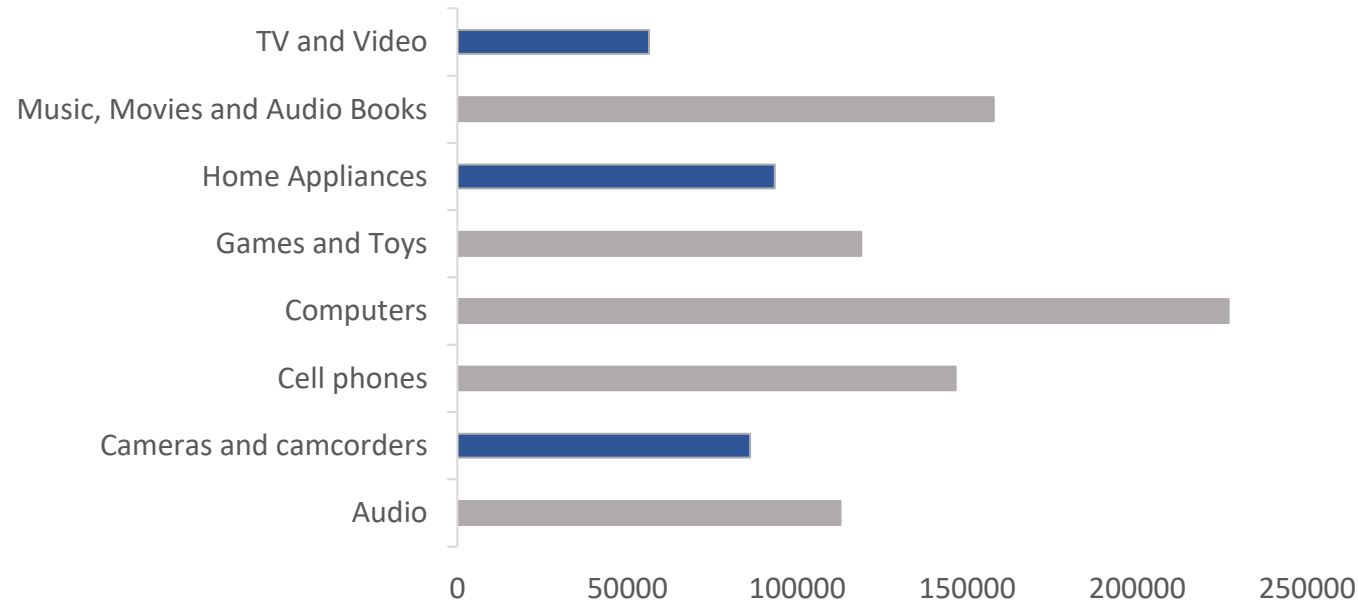
Increasing stores and implementing marketing strategies in these countries will increase sales in these countries.



Key Findings

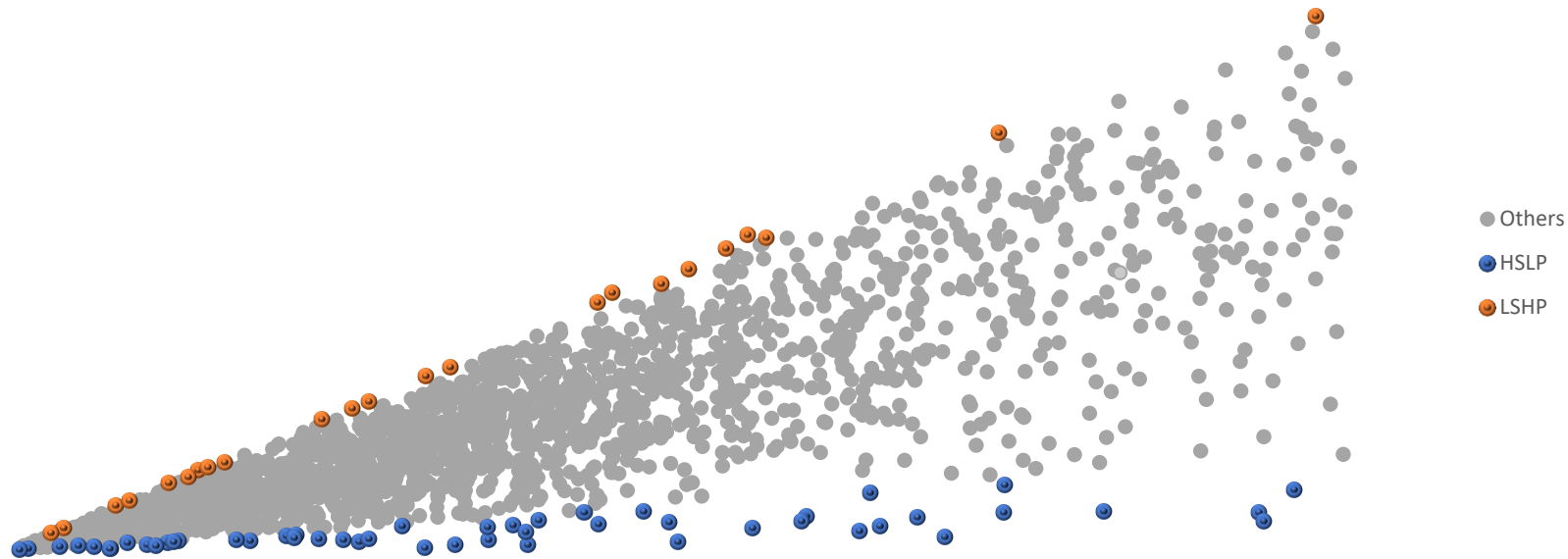
Product categories: 3 categories 'TV and Video', 'cameras and camcoders', 'home appliances' across all countries has least purchase quantity across countries

Reduce prices in price-sensitive categories in low-performing countries; keep prices stable in top-performing countries like US, UK and Germany



Key Findings

- **Products:** 82 unique products with low profits due to uneven pricing. 56 High sales - Low profits and 26 Low sales - High profits. By adjusting pricing of these products would increase profits by 51%

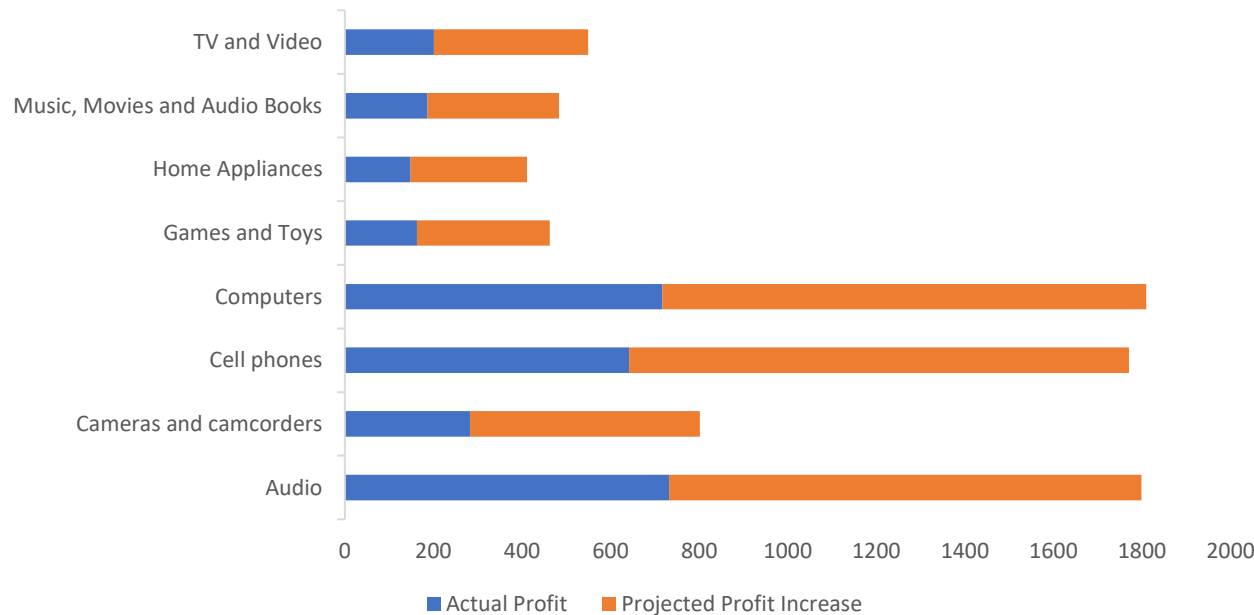


Pricing Optimization Strategy

The "Price-Up" Strategy: Apply a 5% price optimization to 56 high-volume products in US, UK, and Canada.

The "Hold" Strategy: 26 high-margin products were found to be price-insensitive.
Recommendation: Maintain current pricing to prevent margin erosion.

Validation: 93% of identified products (52 out of 56) stayed within the Confidence Interval during back-testing, confirming the safety of the price adjustment.



Strategic Recommendations

- **Resource Allocation:**

- **Strategy:** Implement the 5% adjustment on the "Safe-52" product list and monitor elasticity over the next 30 days.
- **Expand:** Increase store presence in the Netherlands, Italy, and Canada—regions with high growth potential but currently low volume.
- **Retain:** Offer "Premium Services" to the top 10% of customers who contribute **28.23%** of total revenue.
- **Product Mix:** Aggressively expand the "Computers" category, which shows the strongest margin-to-sales ratio.